

Module 13

Business Assurance

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

The risk of material misstatements of the following assertions of the property, plant, and equipment (PPE) of Sub Ace should be designated as significant risks:

Valuation: It relates to the risk of overstatement of the value of the PPE which is affected by the impairment assessment.

Overstatement of PPE may occur when the management's impairment assessment is inappropriate which leads to insufficient provisions. Because of the closure of the Swiss factory by the end of the year, an impairment indicator existed. Impairment assessment involves significant management judgement. Although management decided to dispose all these PPE after the closure, the availability of the interested buyer and the consideration amount is yet to be confirmed as of today. These factors would increase the uncertainties on management estimation of its recoverable amounts. In addition, the estimated market value made by management with reference to the secondhand market may not be reliable due to the lack of market expertise.

Classification and presentation: The closure plan may impact the classification and presentation of Sub Ace's PPE in the financial statements. This may result in misclassification in the financial statement with respect to current vs non-current.

Related disclosure: The impairment assessment and the upcoming closure of the Swiss factory may trigger additional financial disclosures relating to significant management judgement and estimation being made in preparing the financial statements.

Answer 1(b)

With respect to the shortfall of Sub Ace's PPE's estimated market value by HK\$5 million, the auditor shall evaluate the size and nature of the misstatements, both in relation to particular classes of transactions, account balances or disclosures and the financial statements as a whole, and the particular circumstances of their occurrence.

If HK\$5 million was adjusted, the operating profit will be decreased from \$22 million to \$17 million, and the PPE will be adjusted from HK\$25 million to HK\$20 million.

The unrecorded misstatements represented approximately 29% of the operating profits and 25% of the assets which in terms of size was considered material.

In terms of nature, as Kooma has publicly announced the closure plan of the Swiss factory, it is the expectation of the readers that any impairment loss should have been taken into account in the 2025 financial statements. If no provision nor related disclosure was to be made, financial statements users may consider that the financial statements distorted the factual financial position of Sub Ace.

The unrecorded misstatement also caused an incorrect description of an accounting policy relating to a significant item in the statement of financial position.

Answer 2(a)

Sub Bee produces a wide range of its own brand ski products in China using its own brand "Bee". These patents are essential to Sub Bee's operation.

Intangible assets are material to Sub Bee's assets. If Sub Bee does not have the legal ownership of these patents, the nature to record this amount as intangible assets on the financial statements may be materially misstated in terms of classification and presentation. The confirmation provided by Beetle to support the fact that Sub Bee in substance controls these patents becomes critical.

Even if Sub Bee can recognise the patents as intangible assets, there may still be doubt about whether the patents can generate future cash flows to substantiate its carrying amounts, which may trigger impairment issues.

Answer 2(b)

Audit procedures and evidence to be obtained:

- Obtain and inspect the legal titles or documents of these patents and check if the legal owner is showing the original shareholder as the legal owner. If possible, verify these patents to external sources for registrations.
- Inspect contracts and payments for the purchases of these patents by Sub Bee.
- Enquire with management about the specific regulation which restricts the transfer of the titles and registration of Sub Bee as the legal owner.
- Review board minutes or approvals for these purchases despite the legal title transfer restrictions.
- Obtain and inspect the confirmation signed by Beetle to confirm if Sub Bee was granted with the absolute rights to use, control, and execute these patents.
- Obtain internal or external legal opinion to confirm that the confirmation signed by Beetle is authoritative with legal support. If possible, enquire with the counsel to confirm whether the auditor's understanding is in line with management's representation.
- Interview or confirm with the legal owner of these patents about whether the execution of these patents are granted to Sub Bee based on the confirmation signed by Beetle.
- Obtain a valuation report to support whether the consideration paid for these patents are above the carrying amount which may not trigger impairment issue.

- Review the related disclosure to ensure appropriate disclosures have been made in the financial statements.

Answer 3

To: Audit Partner
From: Audit Manager
Date: Examination Date

Subject: Review and analysis of management assumptions of management forecast to support the impairment assessment of Sub Cow's goodwill and intangible assets

Background

As at the reporting date, Sub Bee has a recorded goodwill of HK\$26 million and intangibles comprising the distribution agreements of HK\$15 million.

Sub Cow has sustained losses for the year, and management has announced that it will sell some of its less-performing distribution agreements. Accordingly, these intangible assets are subject to impairment review.

Our analysis

As Sub Cow is operating a loss in 2025, and its financial performance was impacted by the pandemic outbreak, the projection made by the management involved significant judgement.

Management adopted an income approach to support their impairment assessment. It involves management estimates of the prospective financial information of Sub Cow.

With respect to the management forecast, we shall enquire with the management on the following:

- Why does management consider the use of income approach for impairment test appropriate?
- Whether the annual growth rate of 5% of its revenue is supported by industry or market statistics?
- Whether the annual growth rate of 5% of its revenue is in line with its historical records, even though Sub Cow recorded a downturn during the pandemic?
- Whether its costs (including general and administrative expenses) are to be maintained as stable without considering inflationary adjustments?
- If revenue grows steadily at 5% per year, and costs are kept stable, why can gross margin rate be increased at an accelerated speed?
- Why can accounts receivable and payable be maintained the same? Is there any analysis of the portfolio of its customers and suppliers?

- How to support no capital commitments for Sub C in view of Kooma's current trend of expansion?
- Is there any external valuation expertise to support the terminal growth rate of 5%?
- Is the 10% discount rate comparable to the industry mean?
- Sub C is experiencing liquidity issues prior to Kooma's acquisition, how certain is there no external financing in the future, which would mean that financing is sourced from Kooma?
- Did management perform any sensitivity analysis given the narrow headroom resulting from the current impairment test?
- For the patents that are to be disposed of, is there any market value to support the approximate to the carrying amounts?

Conclusion

Given the significant risk on this management forecast, and the amount of goodwill and intangibles that are material to the financial statements, we consider that it is necessary to enquire with the management about these questions and obtain additional evidence to support whether the management impairment assessment is appropriate.

Answer 4

The Directors are responsible for safeguarding the assets of Kooma. Therefore, they are responsible for:

- ensuring that Kooma establishes and maintains appropriate and effective risk management and internal control systems;
- overseeing management in the design, implementation, and monitoring of the risk management and internal control systems;
- requiring management to provide a confirmation to the board on the effectiveness of these systems; and
- ensuring transparent reporting to the Audit Committee or those charged with governance.

In response to the request from the Audit Committee, the Directors can:

- conduct an independent self-evaluation on the existing internal control and determine if there is deficiency in the system's design or of the internal control execution;
- evaluate if there were adequate legal resources where sufficient legal due diligence procedures have been performed;

- evaluate if proper authorisation was obtained when the purchase decision was made;
- review any remediation plan recommended by management;
- consider engaging an external internal control consultant to evaluate the internal controls over the related process and provide recommendations; and
- publish a report for its self-evaluation or the external evaluation of the internal controls, identifying any deficiencies and whether a remediation plan has been and will be implemented.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5

(a) Overdue fee

In accordance with section 410.12 of the *Code of Ethics for Professional Accountants*. Overdue fees create a self-interest threat.

It is generally expected that the firm will obtain payment of such fees before the audit report is issued.

The 2023 audit fee should be settled before the start of the 2024 audit.

If fees are overdue for a long period, they take on the characteristics of a loan to the client.

Possible safeguard:

Having an appropriate reviewer who did not take part in the audit engagement to review the audit work before the client has settled all overdue payments.

Consult risk management of the firm to determine the appropriateness for the firm to be re-appointed or continue the audit engagement.

Request client to settle all 2023 audit fees before formally accepting and signing the audit engagement letter and starting audit work.

(b) Fee dependency

In accordance with section 410.14 of the *Code of Ethics for Professional Accountants*. A self-interest or intimidation threat is created when the fees generated by a firm from an audit client represent a large proportion of the revenue of one partner or one office of the firm.

The client's audit fee represents over 18% and 16% of the firm's total fees for the year of 2024 and 2023 respectively. These are considered significant as a public interest entities audit client. (i.e. more than 15% of two consecutive years)

Possible safeguard:

Increase the client base of the firm to reduce their reliance on the fees from that client.

Increase the type or extent of services provided to other clients in order to diversify the concentration audit fee.

As this is a public interest entities audit client and the fee represents more than 15% of the total fees received by the firm for each of two consecutive years, a pre-issuance engagement quality review by a professional accountant not in the firm should be considered. (A pre-issuance review would be undertaken prior to the issue of the audit opinion for the second year.)

(c) Long association with an audit client

In accordance with section 540 of the Code of Ethics for Professional Accountants, when an individual is involved in an audit engagement over a long period of time, familiarity and self-interest threats might be created.

Possible safeguard:

Rotation of audit partner. As this is a public interest entities audit client, the engagement partner involved for more than seven years cannot be involved again with that client engagement for a further five years. Kenny has been involved as the engagement partner from the 2017 to 2023 audit.

Introduce independent quality control reviewers outside of the engagement team to review the audit work for objectivity.

Consider setting up an appropriate cool-off period for key engagement partners and team members who have been involved in an audit engagement for an extended period to enhance the independence of the audit team.

Answer 6(a)

The risk of material misstatements in relation to the valuation on the loan and advances to customers is high.

Success Bank primarily engages in money lending to property developers, an industry whose profitability is highly sensitive to interest rates.

Many of Success Bank's clients have postponed the sales of completed building units and reduced the selling prices of new buildings.

These actions are likely to adversely affect the profitability of property developers and impact their abilities to repay loans and interest to the bank.

The fact that several clients of Success Bank have defaulted on their loan covenants could trigger cross-loan defaults.

Other banks may recall their loans, placing property developers in a financially challenging position to repay their obligations to Success Bank.

Success Bank's decision to stop accepting the debt securities and shares of certain property developers as collateral, along with tightening or revoking collateral financing value ratios, may necessitate the immediate repayment of loans and accrued interest, which may be unmanageable for the developers.

Significant judgement and estimates are incurred in the expected credit loss assessment. The subjectivity of the expected credit loss assessment could increase the risk of material misstatements.

Answer 6(b)

The relevant audit procedures should include the following:

Request management to provide the list of detailed assessments in assessing the expected credit loss for loan and advances to customers and loan interest receivables in line with HKFRS 9 *Financial Instruments*.

Upon receiving the detailed assessment, discuss and challenge management to clarify the methodology and assumptions utilised in their evaluation.

Determine if management has implemented an appropriate approach under HKFRS 9 to estimate the expected credit losses for loans and advances to customers and loan interest receivables.

Evaluate how management quantifies expected credit losses, specifically whether they conduct a segmented analysis of loan receivables and loan interest receivables, grouping them according to shared credit risk characteristics of their customers.

For instance, Success Bank has customers in Hong Kong and the Mainland and offers secured and unsecured loans. Each customer is facing distinct economic conditions and likely different credit risk profiles. For example, some customers are experiencing financial difficulties and default on loan covenants this year, which indicates they may present different risk characteristics compared to others.

Assess whether management has taken into account additional factors, including current and forward-looking macroeconomic information that could impact the customers' ability to settle receivables, in their assumptions of future expected credit losses.

Engage with management to obtain their evaluation, supported by detailed documentation, on the rationale for a 50% expected credit loss provision against Global's loan balance only. Challenge management's rationale for providing 50% provision on the loan balance of Global and use this information to estimate the lifetime expected credit losses for Global.

Carry out independent research using public information over Success Bank's major customers, particularly those experiencing financial difficulties and where banks have stopped accepting debt securities and shares as collateral and have tightened or revoked their collateral financing value ratios. Understand the financial challenges they face and identify potential expected credit losses from these customers.

Based on the independent research results carried out by the auditor, challenge and discuss with management the reasonableness of management's estimates.

Answer 7(a)

The relevant audit procedures should include the following:

Review the relevant legal claim documents to understand the nature and amount of claims.

Obtain management's schedule of provisions and contingencies, including legal claims.

Examine management's estimates for provisions.

Check with the client's legal counsel(s). The legal counsel should also be asked to describe progress to date and estimate the likely loss or benefit.

Perform independent litigation search to ensure the completeness of management's listing of legal issues.

Understand the grounds of the legal counsel's estimation of winning the case.

Involve auditor expert/ risk management to evaluate the litigation.

Evaluate the appropriateness of recognition and/ disclosures consistent with HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

Evaluate the client's legal counsel's competency in this area of law (i.e. intellectual property).

Advise client to engage external counsel, which is more specialised in intellectual property law, to provide legal advice.

Request written representations from the management confirming the completeness of information provided and their assertion that no additional provisions are required based on legal counsel's assessment.

Answer 7(b)

The audit team should take the following actions:

Discuss the issue with the appropriate senior member of the team and your audit partners to seek further guidance.

Involve senior or experienced team members to communicate the issue to management, clarify the request, and propose possible alternative procedures.

Discuss with those charged with governance, escalate the issue to the Audit Committee Board of Directors to address the lack of cooperation, and highlight its potential impact on the financial statements and auditor's opinion.

Perform alternative procedures, review external sources (e.g., industry news, public filings) to assess the seriousness of the claims and potential outcomes. Compare with similar legal cases in the industry if necessary.

Consider the implication for the auditor's opinion if management is unwilling to provide necessary information, for example, limitation of scope of works.

Communicate with regulators, if withholding information suggests potential non-compliance with laws or regulations, consider reporting the matter to regulators in line with legal and professional responsibilities.

Answer 8(a)

Audit procedures to test the operating effectiveness of IT general controls:

Meet with the IT team at WW Ltd to understand the structure and organization of their IT department.

Review the documentation of system processes and controls affecting IT general controls.

Review the executed service agreements signed between WW Ltd and Farma.

Perform walkthrough on the IT general control.

Generate the system access log to verify that only the system administrator has access to the system configuration and restricted settings.

Confirm with management and the IT team regarding the processes and controls for the monitoring system restricted access and conduct a review.

Obtain the system restriction settings and test to ensure that access is granted only to authorized personnel.

Review the system access log to check for any access by invalid users (e.g., former employees) and request an explanation from management if such access occurred.

Understand the entity's backup and contingency plans and evaluate the adequacy of the plans.

Answer 8(b)

Potential control weaknesses on IT general controls and remediation:

(a) No proper access control to the data integrity

Potential control weakness:

The delay in removing former employees' access to the IT system poses a risk of unauthorised access, which could result in unauthorised changes to programmes and data, as well as potential data leakage.

As WW Ltd is an artificial intelligence company which operates in a high complexity IT environment with a strong emphasis on data confidentiality for its product, WuWa Talk, the potential data leakage would significantly impact its operation and delivery of the WuWa Talk service.

Remediation plan:

Develop and enforce a formal offboarding process that includes immediate revocation of access upon employee resignation or termination.

Conduct regular audits of user access rights.

Set up alerts for accounts that have not been accessed for a specified period.

Maintain detailed logs to track access and modifications for auditing purposes.

Provide training to raise awareness among employees about the risks associated with unauthorised access.

Assign responsibility to a designated manager or team for overseeing access management processes.

(b) Lack of backup and contingency plan of IT system

Potential control weakness:

The backup and contingency plan is still in the design phase and has not yet been implemented. There is a risk of disasters that could damage or restrict access to WW Ltd's IT system, potentially impacting the company's operations.

Remediation plan:

Set up back up and contingency plans that outline the actions to take in the event of disaster to restore a normal state of operations.

Set up disaster recovery team with clearly defined and assigned roles to take lead in executing backup and contingency plan.

Regularly (at least daily) backup copies of data in secure off-site storage facilities. The backup may be offline, continuous, or use a cloud service.

Contract with another third-party service provider to have a substitute data center available.

(c) Engagement of inexperienced external service provider

Potential control weakness:

Farma was established only a year ago. While they have identified two instances of data leakage, they delayed reporting the issue to the IT Committee, doing so ten months after the identification. They may lack the necessary experience and capability to adequately serve the WW Ltd.

The scale of Farma's data center may not be able to cope with the rising demand of the IT services.

Farma may not have adequate IT hardware and system access control or are not complying with the data confidentiality requirement which led to the data leakage cases in February 2024.

Remediation plan:

Change of service provider and conduct thorough due diligence on potential IT solution providers before selection.

Evaluate their security practices, compliance certifications, and reputation in the industry.

Establish clear service level agreements that outline performance expectations and accountability.

Limit access to sensitive data and systems for Farma to the minimum necessary.

Conduct regular site visits to Farma's office to assess the office environment and the access control.

Ensure that all sensitive data is encrypted when handled by Farma.

Implement monitoring tools to track the activities of Farma within the systems.

* * * END OF EXAMINATION PAPER * * *